

4. The \$20,000,000 appreciation of the United Cigar Stores leases took place prior to May 1924, but it was *treated as income in subsequent years*. There was thus no connection between the \$2,437,000 appreciation included in the profits of 1927 and the operations or developments of that year.

5. If the leaseholds had really increased in value, the effect should be visible in *larger earnings* realized from these favorable locations. Any other recognition given this enhancement would mean counting the same value twice. In fact, however, allowing for extensions of the business financed by additional capitalization, the per-share earnings of United Cigar Stores showed no advancing trend.

6. Whatever value is given to leaseholds must be amortized over the life of the lease. If the United Cigar Stores investors were paying a high price for the shares because of earnings produced by these valuable leases, then they should *deduct* from earnings an allowance to write off this capital value by the time it disappears through the expiration of the leases.⁴ The United Cigar Stores Company continued to amortize its leaseholds on the basis of *original cost*, which apparently was practically nothing.

The surprising truth of the matter, therefore, is that the effect of the appreciation of leasehold values—if it had occurred—should have been to *reduce* the subsequent operating profits by an increased amortization charge.

7. The padding of the United Cigar Stores income for 1924–1927 was made the more reprehensible by the failure to reveal the facts clearly in the annual reports to shareholders.⁵ Disclosure of the essential facts to the New York Stock Exchange was made nearly three years after the practice was initiated. It may have been compelled by legal considerations growing out of the sale to the public at that time of a new issue of preferred stock, underwritten by large financial institutions. The following year the policy of including leasehold appreciation in earnings was discontinued.

These accounting maneuvers of United Cigar Stores may be fairly described, therefore, as the *unexplained* inclusion in current earnings of

⁴ This subject is treated fully in a succeeding chapter.

⁵ The reports stated the “Net Profit for the year, including Enhancement of Leasehold Values” (giving amount of the latter), but no indication was afforded that this enhancement was arbitrarily computed and had taken place in previous years.